

# End-to-End Process • Record-to-Report (R2R)

## HITL Design

PCF 11.1 Process Financial Transactions • PCF 11.2 Perform Financial Accounting and Reporting • PCF 11.3 Perform Management Reporting and Analysis

### R2R HITL Design Summary

| R2R Aggregate H% • M3 | Decision Gates | Knowledge Steps | Exception Flows | Δ M1 → M3 |
|-----------------------|----------------|-----------------|-----------------|-----------|
| 59% Human             | 5 • 80% H      | 4 • 65% H       | 2 • 82% H       | -19%      |

### H% by Pattern Type at Each Maturity Level

| Pattern     | Nature of Work             | M1 Undesigned | M2 Emerging | M3 ★ Designed | M4 Optimized | M5 Leading |
|-------------|----------------------------|---------------|-------------|---------------|--------------|------------|
| Decision    | Judgment & Authority       | 92%           | 88%         | 80%           | 72%          | 65%        |
| Knowledge   | Synthesis & Interpretation | 85%           | 78%         | 65%           | 52%          | 42%        |
| Document    | Content Generation         | 72%           | 58%         | 40%           | 28%          | 18%        |
| Transaction | Rules-Based Processing     | 60%           | 48%         | 35%           | 22%          | 12%        |
| Exception   | Non-Standard Resolution    | 95%           | 92%         | 82%           | 75%          | 68%        |

### HITL Impact Analysis

H% = Human involvement at each maturity level • M3 = HITL Design Intent

| Process Step                                                | PCF            | Pattern     | M1 H% | M3 H% ★ | Δ M1→M3 | AI Opportunity |
|-------------------------------------------------------------|----------------|-------------|-------|---------|---------|----------------|
| R2R End-to-End Process • L1 Aggregate                       | 11.1+11.2+11.3 | L1 AGG      | 78%   | 59%     | -19%    | Significant    |
| PCF 11.1 • GL / Accounting — Process Financial Transactions |                |             |       |         |         |                |
| ↳ Process Journal Entries                                   | 11.1.1         | Transaction | 60%   | 35%     | -25%    | High           |
| ↳ Process Intercompany Transactions                         | 11.1.2         | Transaction | 60%   | 35%     | -25%    | High           |
| ↳ Perform Period-End Close                                  | 11.1.3         | Decision    | 92%   | 80%     | -12%    | Retain Human   |
| ↳ Reconcile Accounts                                        | 11.1.4         | Decision    | 92%   | 80%     | -12%    | Retain Human   |
| ↳ Manage Fixed Assets                                       | 11.1.5         | Transaction | 60%   | 35%     | -25%    | High           |
| ↳ Close Accounting Period                                   | 11.1.6         | Decision    | 92%   | 80%     | -12%    | Retain Human   |
| ↳ Journal Entry Exception                                   | 11.1.1         | Exception   | 95%   | 82%     | -13%    | Retain Human   |
| PCF 11.2 • Financial Reporting — Accounting and Reporting   |                |             |       |         |         |                |
| ↳ Prepare Financial Statements                              | 11.2.1         | Document    | 72%   | 40%     | -32%    | High           |
| ↳ Prepare Regulatory Filings                                | 11.2.2         | Document    | 72%   | 40%     | -32%    | High           |
| ↳ Manage External Reporting                                 | 11.2.3         | Knowledge   | 85%   | 65%     | -20%    | High           |
| ↳ Reporting Exception                                       | 11.2.3         | Exception   | 95%   | 82%     | -13%    | Retain Human   |
| PCF 11.3 • Management / Controller — Management Reporting   |                |             |       |         |         |                |
| ↳ Prepare Management Reports                                | 11.3.1         | Document    | 72%   | 40%     | -32%    | High           |

|                                            |        |             |     |     |      |              |
|--------------------------------------------|--------|-------------|-----|-----|------|--------------|
| ↳ Perform Variance Analysis                | 11.3.2 | Knowledge   | 85% | 65% | -20% | High         |
| ↳ Perform FP&A                             | 11.3.3 | Knowledge   | 85% | 65% | -20% | High         |
| ↳ Review and Approve Reports               | 11.3.4 | Decision    | 92% | 80% | -12% | Retain Human |
| External Participant · Auditor / Regulator |        |             |     |     |      |              |
| ↳ Receive Financial Statements             | Ext    | Transaction | 60% | 35% | -25% | High         |
| ↳ Conduct Audit / Review                   | Ext    | Decision    | 92% | 80% | -12% | Retain Human |
| ↳ Issue Audit Opinion                      | Ext    | Document    | 72% | 40% | -32% | High         |

**HITL Design Insight** — 6 Transaction steps (35% H at M3) — journal entries, intercompany, and fixed assets — are the AI absorption opportunity. 5 Decision gates (80% H) carry financial authority — period-end close, reconciliation, and period close are irreducibly human. 4 Knowledge steps (65% H) — external reporting, variance analysis, and FP&A — represent the AI-augmented layer. R2R aggregate at M3: 59% Human / 41% AI.